

ECONOMY / FINANCIAL AWARENESS



**INSOLVENCY
AND
BANKRUPTCY
CODE**

**MUTUAL
FUNDS**

BANK PO / LIC / SSC / GENERAL

MODULE - 2

- Capital & Revenue
- Formal & Informal
- Private Limited & Public Limited
- Listed & Unlisted Companies
- Private Sector & Public Sector

REQUIREMENTS FOR PRODUCTION OF GOODS AND SERVICES

LAND

It also includes natural resources such as water, forests and minerals



LABOUR

People who will do the work. This is basically with regard to the manual work



PHYSICAL CAPITAL

Fixed capital



Working capital



HUMAN CAPITAL



CAPITAL EXPENDITURE



It is the Expenditure to acquire / upgrade buildings or equipment. This expenditure is for the acquisition of long term assets.

REVENUE EXPENDITURE



It is the expenditure on day-to-day maintenance and it does not create assets.

CAPITAL RECEIPTS



Money earned by selling the properties.

REVENUE RECEIPTS



Money earned by giving properties on lease / rental basis.



FORMAL SECTOR AND INFORMAL SECTOR

FORMAL SECTOR

- All Govt. Sector employees.
- Firms / Organizations, which employ 10 or more employees on a regular basis.



INFORMAL SECTOR



- Private sector organizations, which employ less than 10 employees.

- 1 Millions of farmers.
- 2 Agricultural labourers.
- 3 Owners of micro / small enterprises and people working in those enterprises.
- 4 Self employed, who do not have any hired workers.

Formal & Informal are also sometimes referred to as organized & unorganized sectors.



FORMAL SECTOR



INFORMAL SECTOR



FORM OF BUSINESS ENTITIES

FOR GENERAL UNDERSTANDING



INFORMAL BUSINESS ENTITIES

- Partnership Firms
- Single Proprietorship Firms



FORMAL BUSINESS ENTITIES

- Private Limited Company
- Public Limited Company
- Limited Liability Partnership



PRIVATE LIMITED COMPANY

- Fully owned by a group of promoters.
- All shares are in private hands
- Shareholders may comprise close group of friends / relatives.
- Can not sell shares to public.
- It should indicate specifically as “Pvt. Ltd”.
- No stringent rules.

PUBLIC LIMITED COMPANY

- Here the owners are general public, in addition to the group of promoters.
- Shares are open to anyone to buy and sell.
- Majority shareholder runs the Company.
- Can transfer shares freely through stock exchanges.
- Ltd is enough to indicate “Public Ltd”.
- Stringent rules.
- Should make public the balance sheets.



FUNDING AVENUES FOR PRIVATE LIMITED COMPANIES

STAGE-1

ANGEL INVESTMENT

- For start-ups at too early stage.
- Few lakhs of rupees.
- May be from relatives & friends.
- Emphasis is on person.
- In return, take up equity in company.



STAGE-2

VENTURE CAPITAL

- For start-ups, after assessing high growth potential.
- Moderate investment of at least 1 to 2 million dollars.
- Pooled up money from various professionally managed sources, VC Funds.
- In return, take up equity in company.



STAGE-3

PRIVATE EQUITY

- Capital that is not listed on a public exchange.
- It composed of funds and investors that directly invest in private companies.



FUNDING AVENUES FOR PUBLIC LIMITED COMPANIES

- They can tap the funds from market.
- General public can become shareholders.
- Transfer of shares is very easy.
- They can reduce the debt by increasing the shareholding.
- Accountable to the shareholders.



LISTED COMPANY

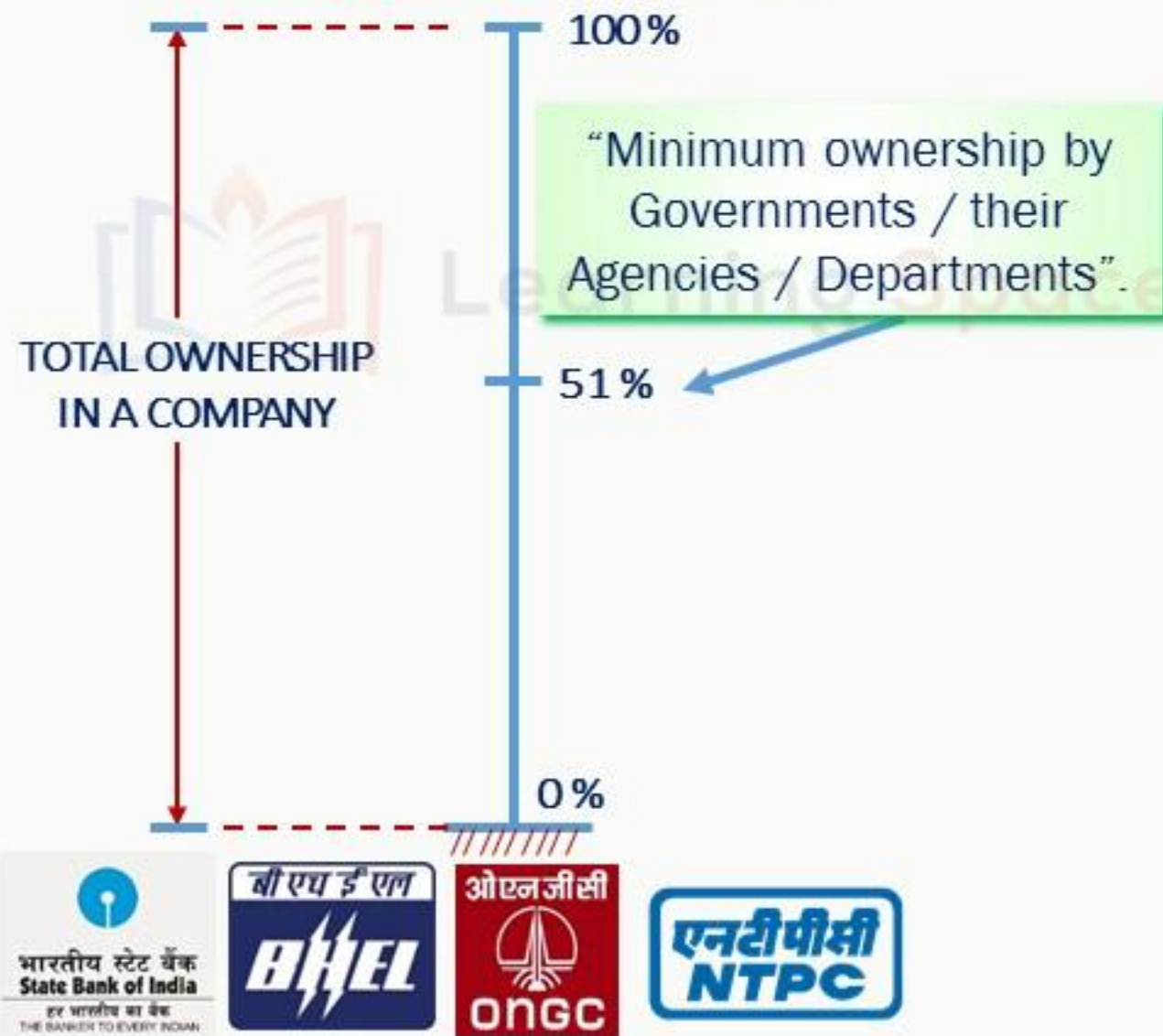
- They are listed in the stock exchanges.
- Transfer of shares becomes very easy.



UNLISTED COMPANY

- They are not listed in any of the stock exchanges.
- Transfer of the shares over the counter.

PUBLIC SECTOR



PRIVATE SECTOR

"Organisations are privately owned and are not part of the Government".


Reliance
Industries Limited


vedanta


TATA
TATA STEEL

 **HDFC BANK**
We understand your world

 **ICICI Bank**
khayaal aapka



WE EXPRESS OUR
SINCERE THANKS
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